

# LEMKE v. MERS INC. et al

21CV45420

## DEFENSE MOTION TO EXPUNGE LIS PENDENS; PLAINTIFF MOTION FOR NEW TRIAL

This is one of three wrongful foreclosure cases filed by plaintiff in an attempt to regain ownership of a home he lost in foreclosure more than a decade ago. Plaintiff concedes (1) borrowing almost a half-million dollars, (2) not paying it back, (3) receiving Notices of Default and Trustee's Sale, (4) not curing the arrears, (5) not redeeming the property, (6) filing lawsuits in state and federal court to set aside the foreclosure sale, and (7) resisting eviction efforts. Plaintiff does not dispute that his deed of trust allowed for undisclosed assignments, that the foreclosure sale was free from procedural defects, and that the current owners qualify for BFP status. Nevertheless, plaintiff contends that the law of wrongful foreclosure has changed over the past decade in his favor, entitling him to try it all over again.

### ***Defense Motion to Expunge Lis Pendens - Granted***

Henry and Julie Martinez are the current owners of the home plaintiff lost in foreclosure. On 03/10/22, they caused to be filed and served a demurrer to all causes of action asserted against them in the operative pleading, to wit: the Third (wrongful foreclosure), Fourth (cancellation of instruments), Fifth (slander of title) and Seventh (quiet title) causes of action in plaintiff's First Amended Complaint.

On 05/12/22, while the demurrer was pending, plaintiff recorded in the chain of title for the subject property a Notice of Lis Pendens.

On 05/20/22, this Court issued an order sustaining, without leave to amend, the demurrer on all counts. A signed order, the functional equivalent of a judgment, was entered eleven days later.

On 06/13/22, Henry and Julie filed and served a motion to expunge the lis pendens. Plaintiff opposes the motion, contending that he was required to record the Notice, and that his motion for a new trial requires that the Notice remain of record. Neither contention is accurate.

A *lis pendens* is a recorded document giving constructive notice to the world that an action is pending in the courts which may have an impact on the litigants' right or title to the property. (See *Park 1000 Investment Group II v. Ryan* (2010) 180 Cal.App.4<sup>th</sup> 795, 807; *Formula Inc. v. Superior Court* (2008) 168 Cal.App.4<sup>th</sup> 1455, 1462; *Palmer v. Zaklama* (2003) 109 Cal.App.4<sup>th</sup> 1367, 1375-1376.) Anyone with an interest in real property may move a court for an order expunging a recorded lis pendens if (1) the court case upon which the lis pendens is based does not contain a real property claim, or (2) the party responsible for filing the lis pendens is unable to show by a preponderance of the evidence that he or she is more likely than not to prevail on the claim affecting right or title to the property. (CCP §§ 405.30-405.32; *Amalgamated Bank v. Superior Court* (2007) 149 Cal.App.4<sup>th</sup> 1003, 1007; *Shah v. McMahon* (2007) 148 Cal.App.4<sup>th</sup> 526, 529.) There is no dispute that this wrongful foreclosure case contained a real property claim, and that plaintiff was entitled (but never required) to record a

lis pendens. (See *Sagonowsky v. Kekoa* (2016) 6 Cal.App.5th 1142, 1148.) However, to sustain that recording, plaintiff must demonstrate probable validity of the real property claim. That he has not done.

As set forth in great detail in this Court's order of 05/20/22, while plaintiff failed to state a viable claim on the facts pled, amendment was futile since any claim plaintiff might assert vis-à-vis the subject property would be barred by the doctrine of preclusion and/or the statute of limitations. While it is true the legal theory upon which plaintiff relied gained validity in the intervening years, when the claims accrued and for an ensuing number of years, those claims had no merit. As it presently stands, a change in law does not revive cases dismissed a decade earlier absent express Legislative authority. Moreover, plaintiff's reliance on that change of law (*Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919), is misplaced for two reasons: (1) that decision only covers *void* assignments, and since plaintiff's deed of trust allowed unfettered assignments, a private agreement between LoanCity and MERS imposing limits thereon renders the eventual assignment *voidable*, not void; (2) that decision does nothing to upend the protections afforded BFPs, which means that plaintiff could only pursue a money judgment against the entities, not a claim leading to a change in legal title away from the BPF. (See *Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279; *Kalnoki v. First American Trustee Servicing Solutions, LLC* (2017) 8 Cal.App.5th 23; *Mendoza v. JPMorgan Chase Bank, N.A.* (2016) 6 Cal.App.5th 802; *Yhudai v. IMPAC Funding Corp.* (2016) 1 Cal.App.5th 1252; *Saterback v. JPMorgan Chase Bank, N.A.*, (2016) 245 Cal.App.4th 808.) Plaintiff's real property claims against Henry and Julie Martinez – having now been dismissed again – are now, and have always been, without merit.

Although defendants made brief reference to CCP §408.35, there was no actual request for an award of any legal fees associated with this motion set forth in the motion or in any declaration. Defendants are entitled, at the very least, to recover their filing fee of \$60. Plaintiff has not requested an opportunity to post a counterbond, and as such no threshold amount for that is being set.

### ***Plaintiff's Motion for New Trial - Denied***

Pursuant to Calaveras County Superior Court Local Rule 3.3.7 (adopted 1/1/18), "all matters noticed for the Law & Motion calendar shall include" specified language in the Notice of Motion, and "failure to include this language in the notice may be a basis for the Court to deny the motion." Based on plaintiff's failure to include the required language, the motion is subject to denial without prejudice to refile; however, given the tight time constraints with motions for new trial, the error will be forgiven in the interests of justice just this once.

A new trial motion is available to challenge judgments disposing of the action without trial where an "issue of fact or law" has been decided – including a demurrer sustained without leave to amend. (See CCP §656; *Carney v. Simmonds* (1957) 49 Cal.2d 84, 88-90.) Plaintiff contends that the Judgment entered in favor of Henry and Julie Martinez on 06/27/22 following a demurrer sustained without leave to amend was based upon an irregularity in the proceedings, insufficiency of the evidence, and/or an error in law. (CCP §657.)

An irregularity in the proceedings refers to conduct other than orders and rulings, such as personal misconduct by the trial judge or any other departure from the due and orderly method of disposition of an action, by which the substantial rights of a party have been

materially affected. (*Montoya v. Barragan* (2013) 220 Cal.App.4th 1215, 1226-1230.) Plaintiff does not describe anything which might qualify as an irregularity in the proceedings.

An insufficiency of the evidence may exist when the trial court, acting as the 13<sup>th</sup> juror, undertakes an independent review of the evidence presented to the jury and concludes that the verdict is simply not supportable from the evidence. (See *Licudine v. Cedars-Sinai Med. Center* (2016) 3 Cal.App.5th 881, 900-901; *David v. Hernandez* (2014) 226 Cal.App.4th 578, 588.) Plaintiff has not identified any evidence which he believes this Court gave too little, or too much, weight.

An error in law can only support a new trial order if (1) there was indeed an error of law made by the court, and (2) the error affected a substantial right, preventing plaintiff from obtaining a fair hearing. (*Donlen v. Ford Motor Co.* (2013) 217 Cal.App.4th 138, 147.) Although plaintiff has identified a few aspects of this Court's 05/20/22 order which he believes to be in error, plaintiff makes no effort to connect the dots between those "errors" and anything preventing him from a fair hearing. For example, plaintiff contends that this Court does not understand the MERS agreement, but whether MERS had a "private agreement" which was different in kind from the deed of trust, it is of no consequence to the issues of preclusion or limitations (nor does it render the assignment void – see discussion *supra*). Plaintiff also contends that it was error for this Court to consider the ruling on the motion to expunge in 13CV39159 since a motion to expunge is not entitled to preclusion, but fails to appreciate that this Court identified numerous instances (not just the motion to quash) in the past when the question of foreclosure was raised and decided adverse to plaintiff. Finally, plaintiff claims that this Court erred in failing to apply "appellate tolling" to the time for bringing the new wrongful foreclosure claim, but plaintiff misunderstands tolling entirely. As noted, there is no right to bring an action, lose, appeal, and refile the same claim outside the statute of limitations based on how long it took the Court of Appeal to reject your claim.

The Clerk shall provide notice of this Ruling to the parties forthwith. Defendants to prepare formal Orders pursuant to Rule of Court 3.1312 in conformity with these rulings.

# FOSTER v. IRBC2 PROPERTIES LLC et al

21CV45573

## DEFENSE DEMURRER; MOTION TO EXPUNGE LIS PENDENS

This is a wrongful foreclosure case. Before the Court this day are the following motions:

1. Motion to expunge lis pendens filed by defendant IRBC2 Properties;
2. Demurrer to the 1<sup>st</sup> (cancellation), 2<sup>nd</sup> (slander of tile) and 7<sup>th</sup> (declaratory relief) causes of action, filed by defendant Orion Financial and Connie Riggsby;
3. Demurrer to the 1<sup>st</sup> (cancellation), 2<sup>nd</sup> (slander of tile) and 7<sup>th</sup> (declaratory relief) causes of action, filed by defendant IRBC2 Properties.

### ***Motion to Expunge – Granted, Without Prejudice***

A *lis pendens* is a recorded document giving constructive notice to the world that an action is pending in the courts which may have an impact on the litigants' right or title to the property. (See *Park 1000 Investment Group II v. Ryan* (2010) 180 Cal.App.4<sup>th</sup> 795, 807; *Formula Inc. v. Superior Court* (2008) 168 Cal.App.4<sup>th</sup> 1455, 1462; *Palmer v. Zaklama* (2003) 109 Cal.App.4<sup>th</sup> 1367, 1375-1376.) Pursuant to CCP §§ 405.22 and 405.23, a claimant filing a notice of lis pendens must follow three steps:

1. Prior to recordation, serve by registered or certified mail, return receipt requested, a copy of the notice on all known owners and those with adverse claims to the property;
2. Concurrent with recordation of the notice, record a proof of service consistent with CCP §1013a. if service cannot be effectuated, a declaration of due diligence is needed (§405.22); and
3. Immediately following recordation of the notice and proof of service, file a copy of both with the court in which the action is pending.

Pursuant to CCP §405.23, the notice of lis pendens “shall be void and invalid” as to any adverse party or owner of record unless the above requirements have been met. Plaintiff concedes that his lis pendens (2021-017023) is technically deficient. Expungement is warranted; however, when expungement is based on technical violations, the claimant is free to refile. (*McNight v. Superior Court* (1985) 170 Cal.App.3d 291, 303.) Plaintiff offers to do so. As such, the offense is *de minimus*, and so shall be any award of fees. Counsel advises that his hourly rate is \$400 – which is above the “going rate” for this community of \$300. This Court finds that on a simple motion such as this, anything in excess of 2 hours is dilatory. **Counsel for defense is entitled to recover \$660.00 (2 hours plus filing fee) from plaintiff.**

As for the merits, while this Court could look past the procedural defects in this instance, the demurrers directed at the operative pleading, coupled with plaintiff's confession that some of the claims require amendment, means that a First Amended Complaint is all but guaranteed. Since the lis pendens must be tested against the operative pleading (see *Kirkeby v. Superior*